

ECON 380-001: Economies in Transition

Eugenio Garza — Graduate Lecturer

01:30 PM to 02:45 PM MW

Planetary Hall 126

Office Hours: MW 3-5, by appointment.

The course **Economies in Transition** explores the economic and institutional challenges faced by countries transitioning from socialism to market-based systems. Using Peter Boettke's *Why Perestroika Failed* as a central text, the course examines the flaws of Soviet socialism and case studies of successful and less successful transitions, including Poland and Estonia. Through a diverse set of readings and discussions, students will critically analyze the economic, political, and cultural dimensions of transition economies and gain insight into the broader implications for economic development and policy.

This course requires a high amount of weekly reading. A few of the readings assigned might be challenging, but most are accessible. If you are willing to make the effort to keep up with the readings, you will find the exams relatively easy, and the course material deeply engaging.

Learning outcomes:

1. You will be able to critically evaluate the flaws and challenges of socialist economic systems, particularly in the Soviet Union, and articulate **why specific transitions to market economies succeeded or failed**.
2. You will gain an understanding of the **role of institutions in economic development**, focusing on how institutional changes impact growth, efficiency, and social outcomes in transitioning economies.
3. Students will demonstrate knowledge of **the global interconnectedness of economies**, particularly in the post-Soviet era, and explore how these interconnections influence policies and economic outcomes in transition economies.

Success in the course will be measured through reaction to class readings, participation, and midterm and final exams that will evaluate the three desired outcomes described above.

LMS

This course will be hosted on Canvas for the Spring 2025 semester. Please ensure you are familiar with accessing and navigating this platform. Resources and support are available at: <https://lms.gmu.edu/getting-started-students/> to help you get started. If you have any questions, do not hesitate to reach out to me or contact the ITS Support Center for assistance.

Textbook

Boettke, Peter J. *Why Perestroika Failed*. 1993. New York: Routledge.

Additional readings will be uploaded to Canvas

Assignments

Readings. There is an assigned reading for each session.

Reading reactions (30% of the final grade). For some of the readings, you will have to submit to Canvas a reading reaction. It should be no longer than one page. You have to describe the main thesis of the reading, and write an original, personal reaction reflecting on the content.

Attendance and participation (10% of the final grade).

Midterm exam (30% of the final grade).

Final exam (30% of the final grade).

Policies

Office hours. By appointment only. If times other than as stated at the top of the syllabus are more convenient for you, let me know, and I will be happy to accommodate your schedule. I sincerely hope that many of you will take advantage of office hours. We can meet at the Economics Dept. suite at Buchanan Hall or have a Zoom call.

Late policy. I will not accept late work unless excused before it is due.

Enrollment. Students are responsible for verifying their enrollment in this class.

Special accommodations. If you require any special accommodations, please talk to me during the first week of the term. Please do note that I cannot extend accommodations without the approval of the GMU Office of Disability Services.

Class cancellations: Following a Mason Alert announcing an inclement weather campus closure or delayed opening, please be sure to check your email and/or our course Canvas page to see what our class plans will be.

Academic Standards exist to promote authentic scholarship, support the institution's goal of maintaining high standards of academic excellence, and encourage continued ethical behavior of faculty and students to cultivate an educational community which values integrity and produces graduates who carry this commitment forward into professional practice.

Global Understanding. This course fulfills GMU's Global Understanding requirement. The goals of the Global Understanding courses consist in the following four learning outcomes:

1. Identify and articulate one's own values and how those values influence their interactions and relationships with others, both locally and globally.
2. Demonstrate understanding of how the patterns and processes of globalization make visible the interconnections and differences among and within contemporary global societies.
3. Demonstrate the development of intercultural competencies.
4. Explore individual and collective responsibilities within a global society through analytical, practical, or creative responses to problems or issues, using resources appropriate to the field.

ECON 380 addresses (1) by asking us to consider the tradeoffs between material prosperity and other values. Do the institutions we develop to mitigate scarcity come with moral cost? We address (2) directly by examining the effect of (especially post-Soviet) globalization on economic growth in transition economies. We address (4) by developing tools and heuristics to think about challenges confronting successful economic development.

Please consult the [GMU Common Course Policies](#) for additional information.

Class Schedule

Date	Reading	Assignment	Notes
22/01/25			Introduction
27/01/25	WPF c. 1 and 2		
29/01/25	Hayek (1945)		
03/02/25	Mises (1920)	Response 1	Due at class time
05/02/25	Coase (1937)		
10/02/25	Alchian (1950)	Response 2	Due at class time
12/02/25	Piano & Rouanet (2020)		
17/02/25	Tullock (1967)	Response 3	Due at class time
19/02/25	Tullock (1975)		
24/02/25	WPF c. 3	Response 4	Due at class time
26/02/25	WPF c. 4		
03/03/25	WPF c. 5	Response 5	Due at class time
05/03/25	Midterm		
10/03/25	Spring Recess (no classes)		
12/03/25			
17/03/25	WPF c. 6		
19/03/25	WPF c. 7 and 8		
24/03/25	Poland, c. 1 and 2		
26/03/25	Poland, c. 3	Response 6	Due at class time
31/03/25	Poland, c. 4		
02/04/25	Poland, c. 5 and 6	Response 7	Due at class time
07/04/25	E. Garza at APEE Conference		
09/04/25	Poland, c. 7 and 8	Response 8	Due at class time
14/04/25	Sweden, c. 1		
16/04/25	Sweden, c. 2	Response 9	Due at class time
21/04/25	Estonia, c. 2 and 3		
23/04/25	e-Estonia: an inspiration to the world		
28/04/25	Denmark, c. 1		
30/04/25	Singapore, c. 6	Response 10	Due at class time
05/05/25	Last Day of Class: general review		
07/05/25	FINAL EXAM: 1:30pm - 4:15pm		